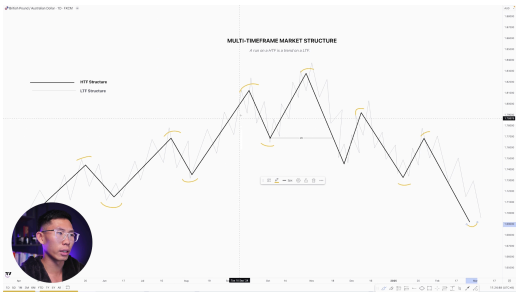
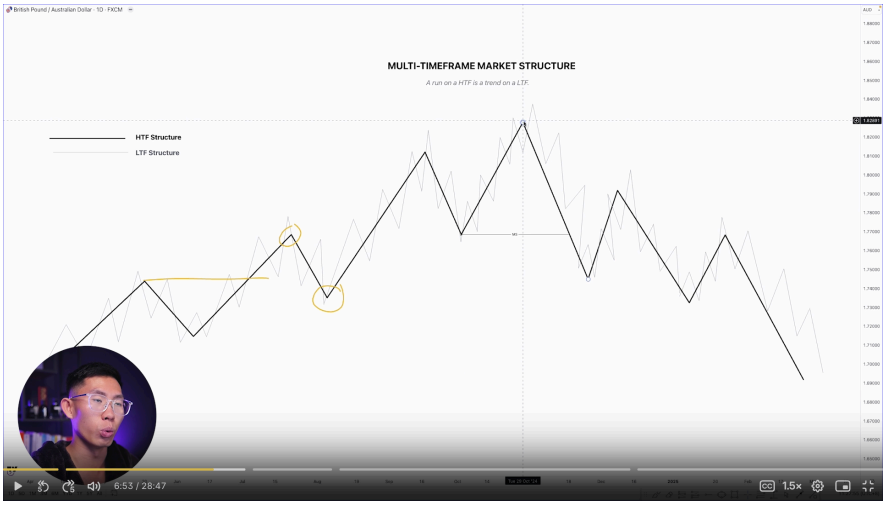
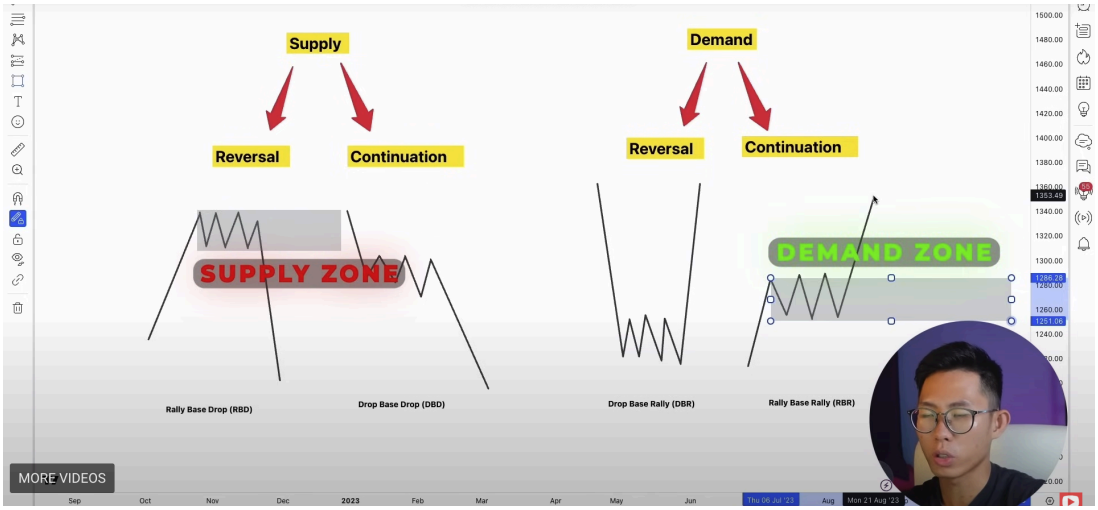
Market Structure Mechanics

- **A run on a higher timeframe is a trend on a lower timeframe.**
    - Price pullbacks on HTF = trend shift on LTF
    - 

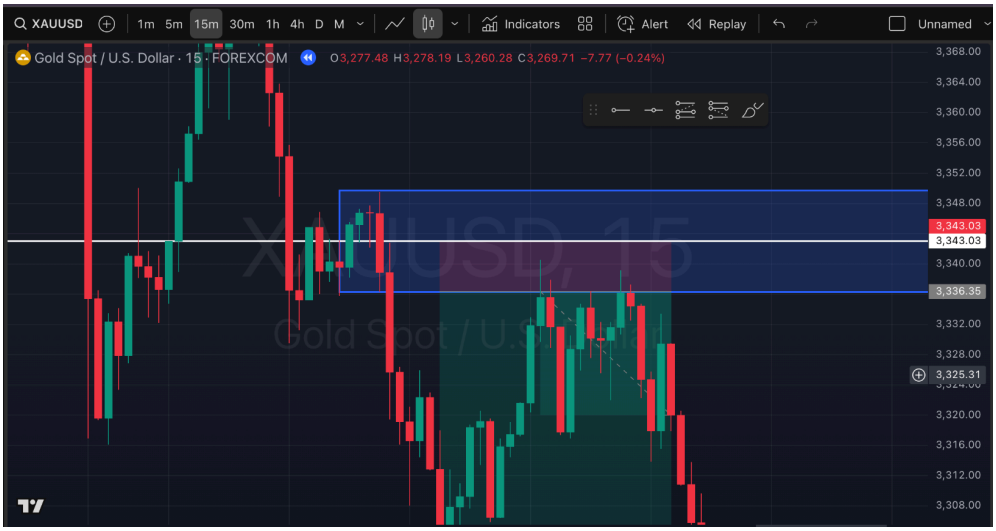
- What happens on the higher timeframes happens on the lower timeframes first
- When you see market shifts on the lower timeframe, you can zoom out to the higher timeframe and see where are the new S/D zones and swing highs/lows
    - 

Supply & Demand Zones

- What are supply & demand zones
    - Areas where big banks/smart money are trading at
        - If you identify it correctly you'll be able to trade with their momentum and take advantage of their liquidity
    - S&D zones are caused by momentum. The stronger the price imbalance the stronger the zone will be.
    - When you identify a zone, **wait for price to come back to the area of the zone** before taking an entry
- How to identify and draw S&D zones
    - Recognize these 4 scenarios

- 

  - Look out for strong momentum moves in price (big fat candles - lots of pips)
  - Identify the candle **before the strong move**
  - Draw a box around the wicks of that previous candle
  - The zones can be any size - doesn't matter as long as you follow the above^ rules and have strong momentum behind the zone
- When to enter and exit
  - Identify the zone
  - Place SL above the zone
  - Set TP at the next opposite zone
  - **REFINED ENTRY STRATEGY**
    - **Entry 1 - limit order @ <u>bottom</u> of zone + halfway through**
      SL either above halfway point, or slightly outside the zone
      TP at TOP of the next demand zone.



    - **Entry 2 - limit order @ top of the zone, SL 40-50 pips (be generous) above/below the wick of the <u>closest bigger candle outside the zone</u>**
      TP at BOTTOM of the next demand zone (this entry only gets filled if price sweeps liquidity = SHARP momentum incoming. Bet heavy.)

- **This entry strategy is designed to catch sniper entries on trades that <u>sweep liquidity outside the zone before moving.</u> The wide SL is needed to give price breathing room as it sweeps. Too tight = stopped out and missed the trade.**

- **The stop loss might seem crazy, but if it is executed <u>correctly</u>, and your S/D zones have been charted on the 1H timeframe properly, you'll see the RRR makes it WELL worth it.**

- **Entry 3 - stop order below/above the candle body of the <u>closest inefficiency</u> candle <u>before price consolidates *inside of a S/D zone*</u>. SL halfway into the consolidation, TP at next key level**

-

    - **This is a more risky entry strategy, should only be used <u>AFTER price has mitigated/retested a zone multiple times</u> and is now <u>consolidating inside of the zone</u>. This is the final liquidity grab before price swings.**
- High vs low quality zones
    - **The more momentum there is, the higher the quality of the zone**
- Why only some zones work
    - There's 3 ways to tell if a zone will work
        - Market structure
            - Is price reacting off the zone sharply? If yes it is likely a valid zone. If no and price consolidates around the zone, it is likely to fail.
            - Uptrend = buy at demand zones
                - In an uptrend however, you can sell at supply zones that have taken out demand and catch the trend reversal
            - Downtrend = sell at supply zones
                - In a downtrend however, you can buy at demand zones that have taken out supply and catch the trend reversal
        - Depth
            - The deeper the price goes into the zone, the higher the chance the zone will fail
                - If price goes **more than half** or all the way into the zone, most likely it will fail
                    - **Entry Strategy 1 is designed around this**
                - Not guaranteed - sometimes it will wick through and react off
                    - **Entry Strategy 2 is designed around this**
        - Time
            - The longer the prices spends consolidating in a zone, the higher the chance the zone will fail
                - It should ideally touch and have a sharp reaction. If it doesn't, good chance the zone will fail

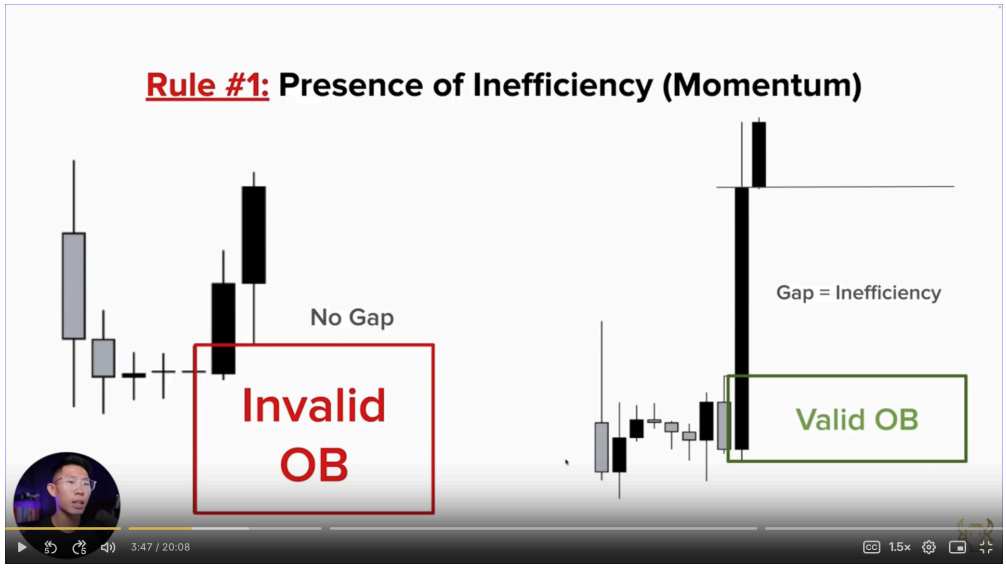
        - **Potential opportunities to catch the break of structure**

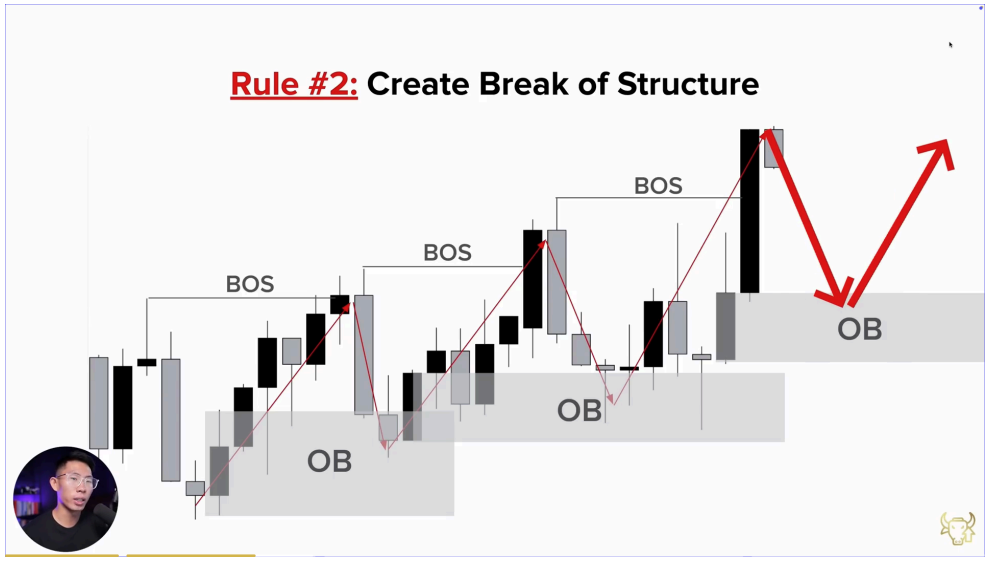
Top Down Analysis

- Analyze the market from HTF down to LTF to get clean entries
    - Direction Timeframe - 1H
        - Identify what is the trend/direction of the market
        - **Identify key S/D zones that caused massive price momentum within the last 24-48 hours. Trend shifts can occur on LTFs at these levels**
    - Behavior Timeframe - 15m
        - See what price is doing, look for key levels/candlestick patterns/etc
        - **Chart S&D zones for scalping**
        - **Chart trend lines & key S/R levels where price has reacted**
    - Entry Dimeframe - 5m/1m
        - Snipe precise entries at S/R levels inside of S/D zones
        - **Set TP at key levels charted on HTFs**
- We are looking for **recent price action data - relevant to RIGHT NOW.**
    - 6 hours ago is most likely useless. Pay attention to RECENT PRICE DATA
- If the behavior and entry timeframes are out of sync with the direction timeframe, **we want to wait until all 3 align before taking an entry.**
    - Caveat: we can use the smart money scalping strategy to catch corrections with tight SLs from key S/R levels forming on lower timeframes.
    - **Swing entries are not taken until the lower timeframes align with the trend of the higher timeframe. We wait for price to pull back to a key level before entering for massive TP**
- **When it doubt - just zoom out**

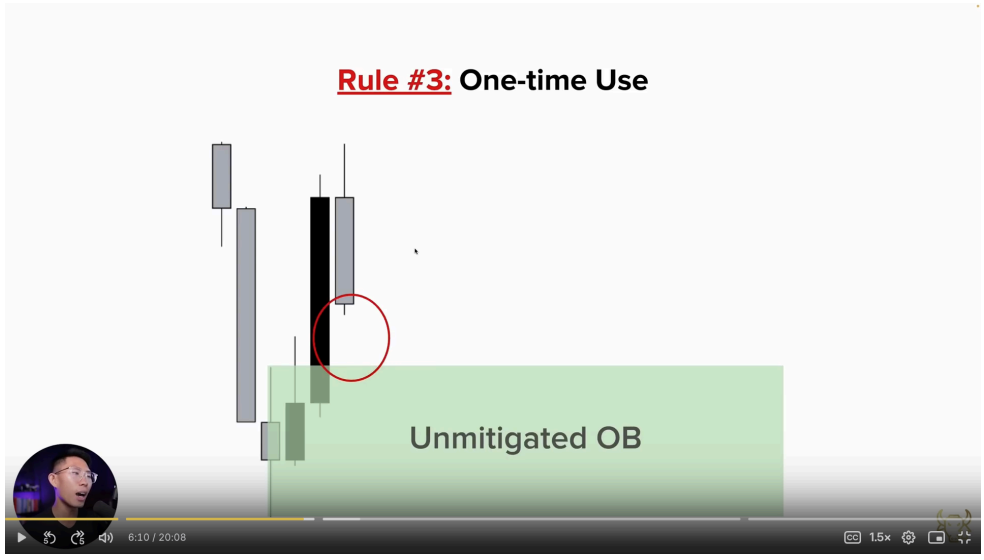
Order Blocks

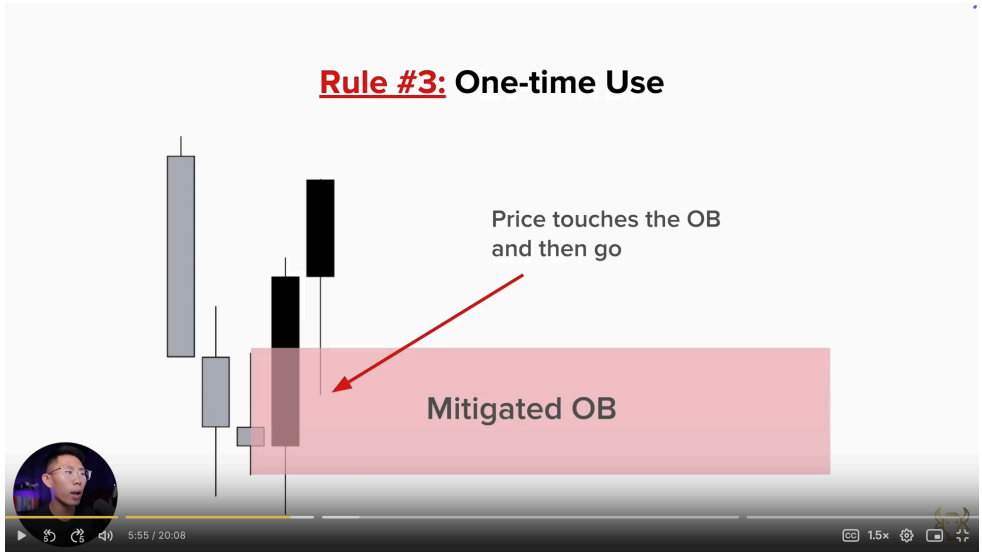
- What are order blocks?
    - Areas where smart money is entering buy/sell orders in large amounts = liquidity
- How to identify order blocks
    - Find a drastic and sharp price move (inefficiency
    - Identify the candle before the move
    - Mark the high and the low of the candle wicks to form an OB zone
- What defines a valid order block?
    - Presence of inefficiency (sharp price momentum)
        - There must be a gap between the “before” and “after” candles surrounding the inefficiency

- 

  - It must create break of structure
- 

  - Order blocks are a **one time use**
    - We want the order block to be **unmitigated** - price HAS NOT touched/retested it yet after the inefficiency

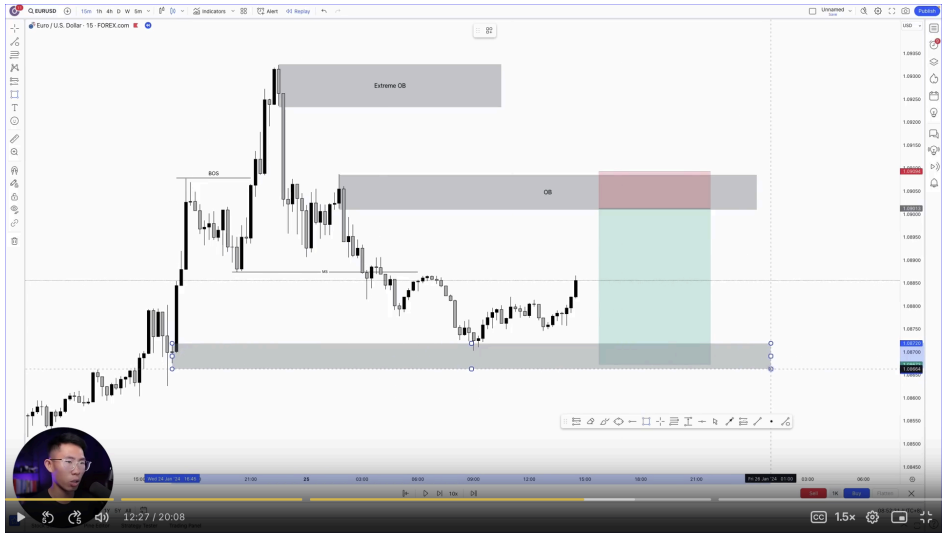
- 

- 

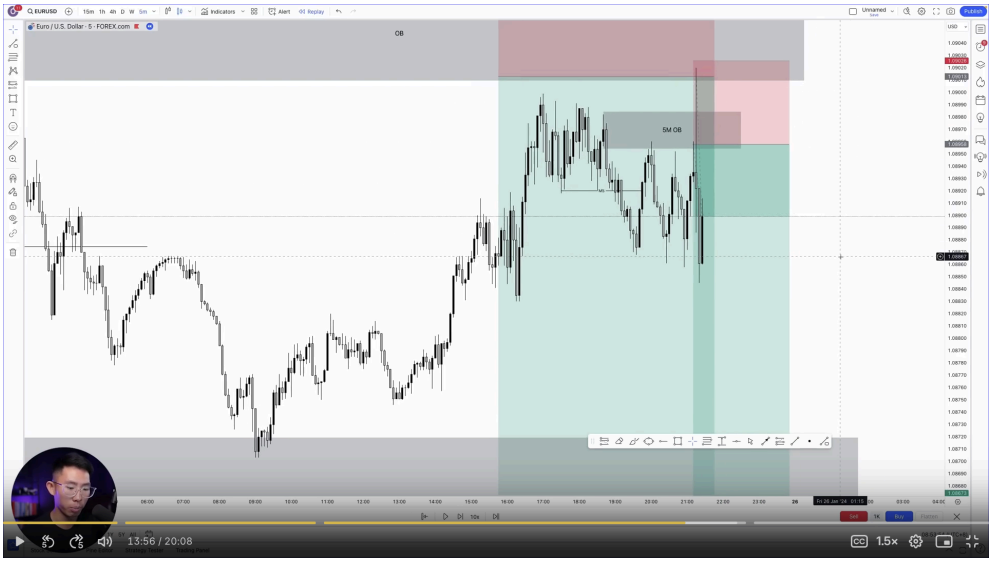
- Order Blocks Trading Strategy (catching trend reversal)
    - Look for the inefficiency that has caused a market shift (price has broken the trend structure)- draw the order block zone at this point
        - Bullish scenario - price has broken through the higher low and is now forming a lower low
        - Bearish scenario - price has broken through the lower high and is now forming a higher high
    - Wait until price comes back and retests/mitigates the order block - this is confluence of market shit and we can look for an entry in the new trend direction from the OB zone
    - Drop down to the lower timeframe
        - Chart all valid OB zones that are pushing price in the new trend direction

- Price will usually not come retest extreme OB zones that had super strong inefficiencies. It is more likely to retest and react off softer OB zones that are forming the swing highs/lows of the new trend

- TP zone should be set at the NEXT OB level that was valid for the previous trend before the market shift relative to current price level



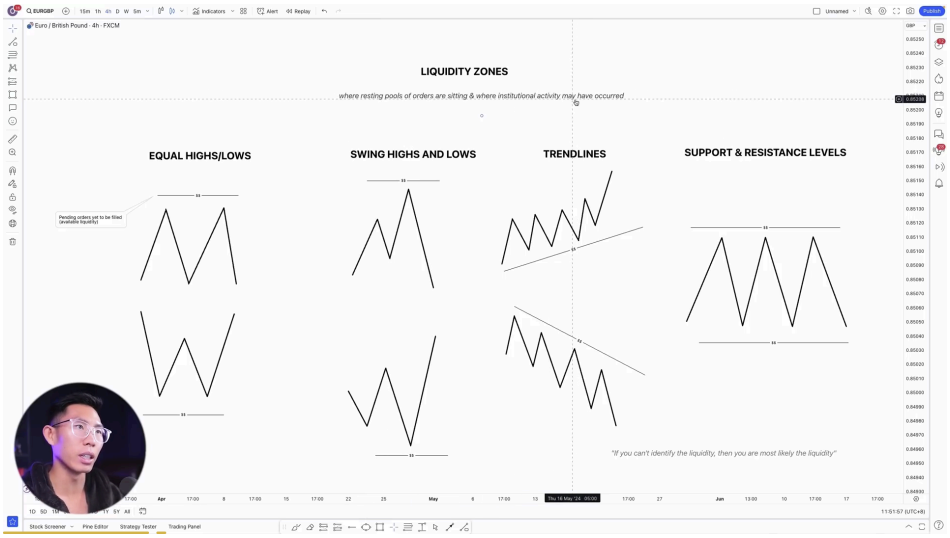
- Chart valid OB zones from HTF down to the entry timeframe to see accurate market shift + OB patterns in real time and open more precise entry opportunities

- 

Liquidity (How Smart Money Moves The Market)

- Liquidity = orders + stop losses
- **You must train your eyes to see liquidity sweeps**
  -

    - **Trendline break liquidity trap^**
- Liquidity zones are resting pools of orders that are sitting & where institutional activity may have occurred. They are often sitting above/below common chart patterns - **smart money uses chart patterns to manipulate retail traders into entering positions that will feed a liquidity sweep.**

- 

- Notice how the liquidity sweep faked out both buyers and sellers before ultimately smashing TP. Liquidity was sitting **below the double bottom chart pattern** and **above the bullish BoS.**
  -

- Now notice how, when we want to catch the short reversal right after smashing TP on a buy, the chart forms a **double top** chart pattern **right above the liquidity zone**
  -

- What does this tell us? Smart money knows EXACTLY how we are trading. They are baiting another liquidity trap RIGHT where we took profits so they can absorb our funds. **Smart money is setting liquidity traps at zones where we take profits & re-enter + zones where chart patterns indicate a "good" entry. These are all areas where money enters and exits the market - Smart Money notices and sets traps to absorb all the liquidity generated by the market.**
    -

- Instead of impulsively re entering based on chart patterns, S/R levels, and other retail trading concepts, **<u>we use retail trading concepts as confluences for liquidity traps</u>, wait for the liquidity sweep to happen, and THEN enter AFTER the liquidity sweep CONFIRMS our trade analysis.** This significantly reduces risk because we do not enter until AFTER the financial institutions start moving price in the direction of our trade
    -

- **Now that we have multiple confluences for the short reversal (bearish market structure, liquidity swept, mitigated supply zone),** we can go down to a lower timeframe and hunt for a sniper entry.

-

- SL above the liquidity sweep, TP at the next demand zone, entry either right after liquidity sweep before price swings or on the retest of the liquidity zone resistance level
  -

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- And look what happens once we hit TP on the demand zone? Price AGAIN forms a support zone right above the demand zone, grabs liquidity, and then reverses in a sharp swing all the way back up to our supply zone
  -

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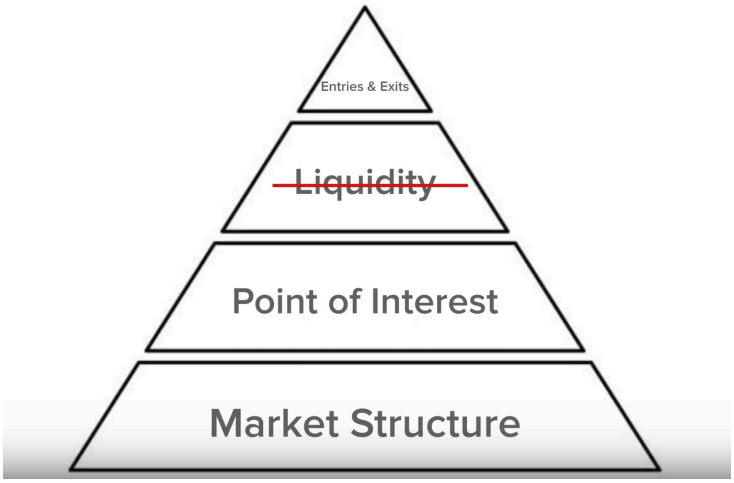
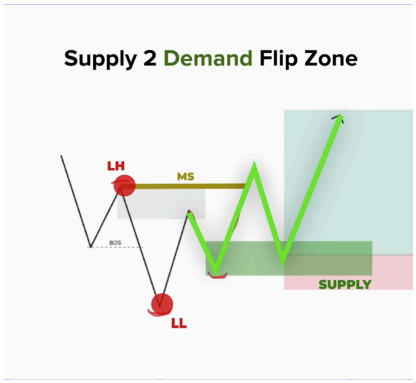
- What does this tell us? **Liquidity is ALWAYS swept BEFORE a big swing. <u>Notice the pattern.</u> When you SEE a liquidity sweep on the charts, price is about to swing.**

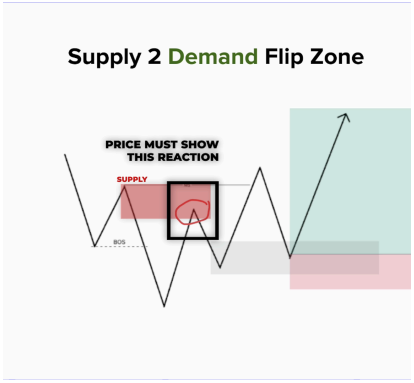
- **The liquidity exists in the <u>opposite direction</u> of the trend prior to the liquidity sweep**
    - If price is in a sell trend, forms a support at a swing low, and has a liquidity sweep before shooting up in a buy trend - there is **bullish liquidity & buying pressure** in the liquidity zone
    - If price is in a buy trend, forms a resistance at a swing high, and has a liquidity sweep before shooting down in a sell trend - there is **bearish liquidity & selling pressure** in the liquidity zone
- There are almost always **huge swings** after liquidity sweeps
- **<u>Do not use liquidity as the main confluence.</u>**
    - **Liquidity should serve as an additional confluence on top of market structure and Points of Interest (S/D Zones, Order Blocks, etc)**
    - 

        - **Most important confluences from the bottom up. Start with market structure, THEN POIs, THEN Liquidity. Liquidity reacts to POIs.**

Supply & Demand Flip Zones

- What are supply & demand flip zones?
    - Points of interest where a supply zones transitions into a demand zone (or vice versa)
    - Shift in order flow of the market (from bearish to bullish or vice versa)
    - Caused by changes in market sentiment and the psychology of market participants
    - 2 types of flip zones
        - Supply → Demand Flip Zone
            - Supply zone formed at the most recent lower high, but instead of price continuing the downtrend after retesting the supply zone, it has a **failed reaction** to the supply zone and forms a **higher low** instead of continuing the downtrend.

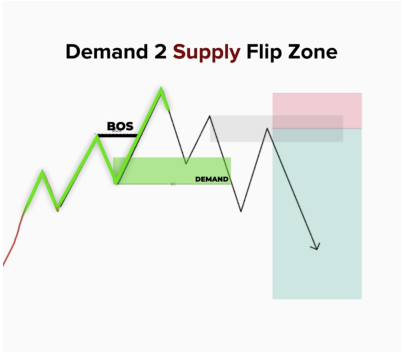


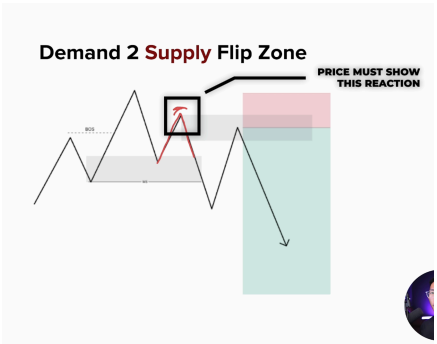


- We can now draw a demand zone from the higher low that was just formed and take a buy entry on the retest

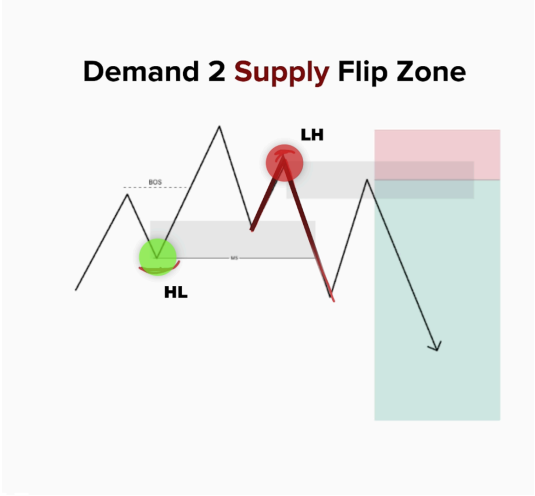
■ Demand → Supply Flip Zone

- Demand zone formed at the most recent higher low, but instead of price continuing the uptrend after retesting the demand zone, it has a **failed reaction** from the demand zone and forms a **lower high** instead of continuing the uptrend.

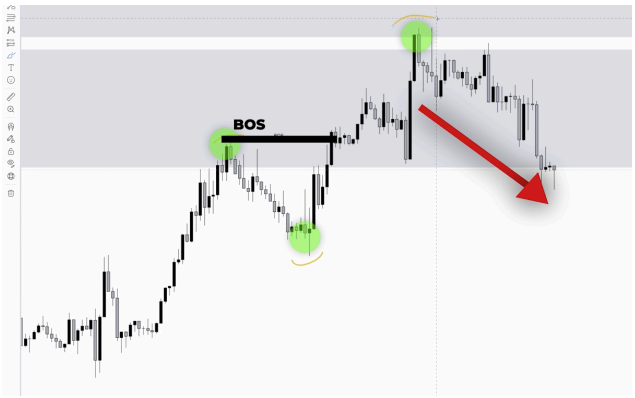




- We can now draw a supply zone from the lower high that was just formed and take a sell entry on the retest

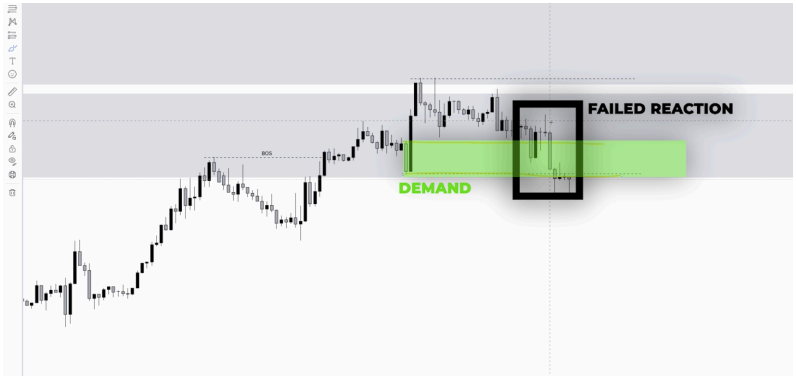


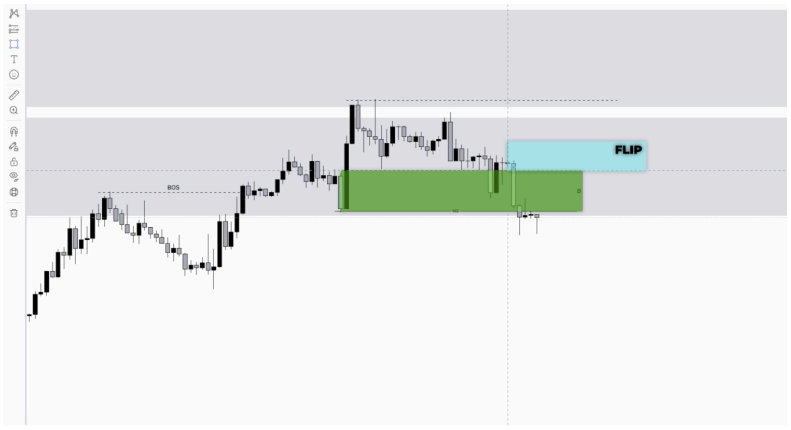
- How to identify & trade flip zones
    - **FIRST THING: Identify overall market structure (always do this first)**
        - Now, once you identify the trend, BEFORE you think about entering - **we need to look out for blind spots and <u>opposition zones.</u>**
            - **Zoom out to higher time frames and scroll to the left:**
                - **Is there a supply zone around the area you're looking for a buy entry?**
                    - We don't want hidden sell pressure overpowering price when we take a buy entry
                - **Is there a demand zone around the area you're looking for a sell entry?**
                    - We don't want hidden buy pressure overpowering price when we take a sell entry
        - If price is in an opposition zone, then we should be looking for **flip zone trades** because price is about to move **against the trend**
        -

        - If we've identified price is in an opposition zone, go down to the lower timeframe to start marking flip zones and looking for an entry
            - When we go down to the lower time frame, **mark out the market structure again. <u>Always</u> do this first.**
            - 

        - Now we are looking for **flip zones** after market structure is identified. We need to see price have a **failed reaction to a demand/supply zone <u>and</u>**

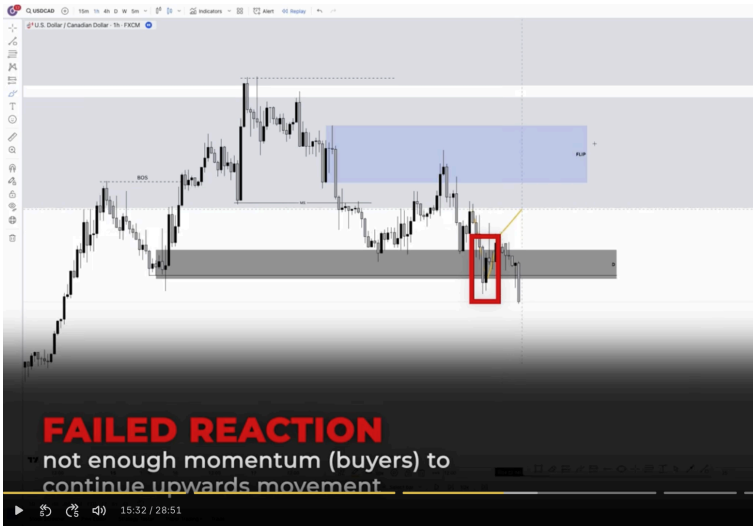
then break structure in order to confirm the trend is actually going to reverse and respect flip zones. **Only then** can we enter the market.

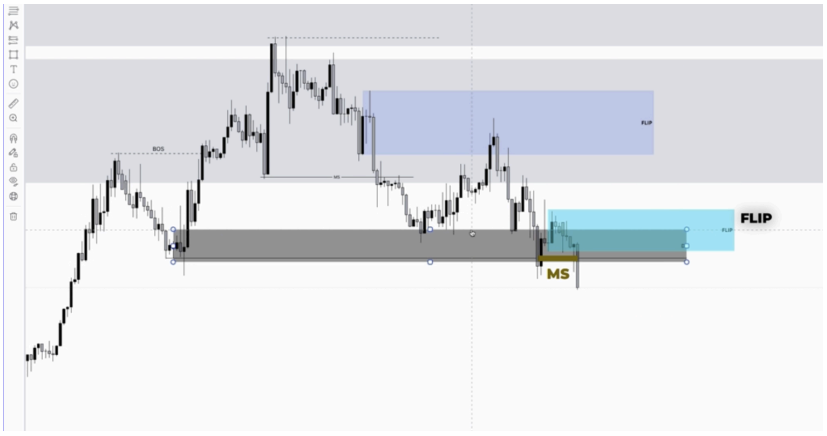
- 

- Once a failed reaction to S/D zone is identified, we can chart the flip zone off the candle that caused BoS and mitigated the zone
  - 

- Now we can look for an entry in the flip zone with TP at the next S/D zone
  -

    - Note that price can sometimes go around 50% <u>into</u> the flip zone before reacting, and other times it can just touch and react. There's no concrete rule that says how price will react - just know it can do one or the other.
- When we TP and get out of the trade - we can observe that price is having **another failed reaction** to the demand zone we just TPed

- 

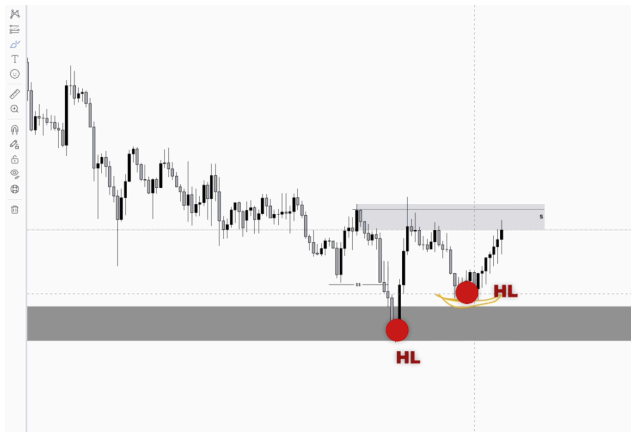
- Because there is another failed reaction, we can chart another flip zone and look for another entry to catch even more swing movement
  - 

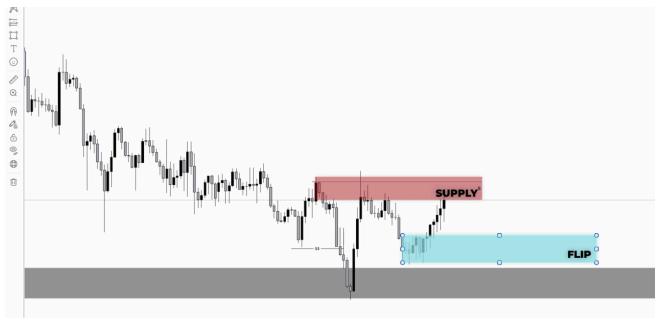
- Watch price follow the same pattern as before, tapping halfway into the flip zone before reacting and shooting down to our TP at the next demand
  -

- **The market is cyclical and the patterns of price movement will repeat themselves. The Apex Hunter knows exactly when to pounce.**

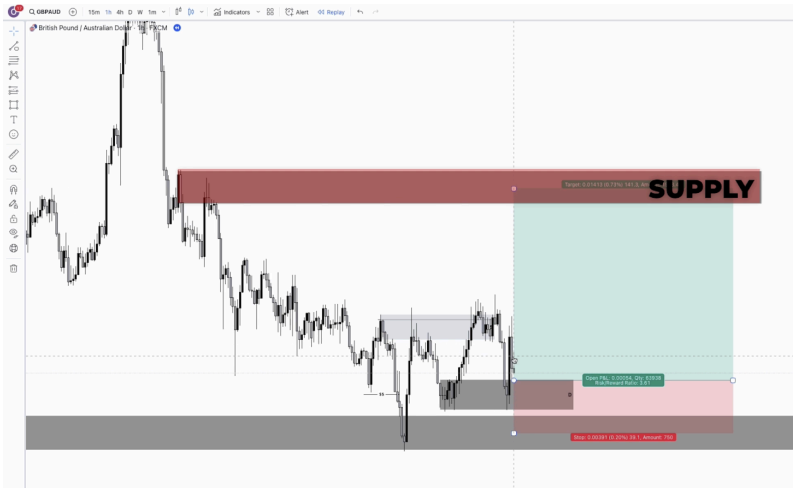
- **Buy Trend Example:**
  -

Demand Zone
  -

Market Structure
  - 

Market Shift
  - 

Flip Zone

- 

Reaction
-

Liquidity
-

TP Smash

- How to combine liquidity with flip zones to avoid smart money traps
    - **No Strategy works 100% of the time. Ask Yourself:**
        - **<u>Has the flip zone swept liquidity?</u>**
            - Yes = **enter on the flip zone**
            - No = **Enter on extreme S/D zone or the next S/D zone after getting <u>extra</u> confirmation**
        - **<u>The market moves based on liquidity.</u>**

Fibonacci Retracement

- Tool Settings
  -

- Steps
  - Find a clear trend
  - Apply fibonacci tool from swing low/high to swing high/low
    - Make sure the levels are connected **at the end of the candlestick wicks**
  - Wait for price to retrace **to any of the retracement levels**
    - Treat each of the retracement levels **as support/resistance ZONES**
      - **NOT clear exact “levels” - the space <u>around</u> each “level” is a S/R zone similar to supply/demand**
      -

  - How to identify which level price is done retracing at before continuing the trend:
    - Wait until price reacts off a S/R zone with 2+ candlesticks failing to break through **and both closing at the same level respecting the zone**

        - This means no discrepancies with one candle 5-10 pips above/below the last. If multiple candles are reacting off a zone but have variance in the reaction point it indicates retracements is not done and momentum has not yet stalled.
        -

    - Enter **in the direction of the trend** after retracement is done
        - Set SL **below** the wicks of the rejected retracement level and TP at the next extension level
        -

- Buy Trend
    - Chart fib tool from most recent swing low to most recent swing high
        - Price will retrace to one of the fib levels between the high and low, then continue trending upwards to the extension level

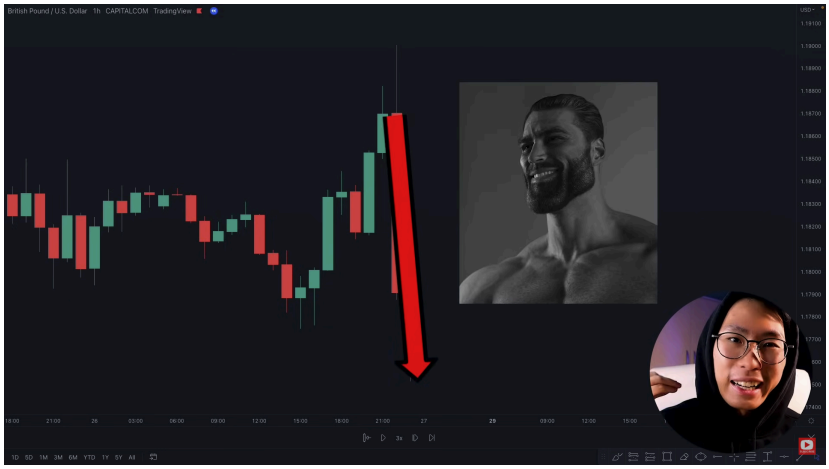
-

- Sell Trend
  - Chart fib tool from most recent swing high to most recent swing low
  -

Support & Resistance

- What makes a key level:
  - Multiple rejections

-

  - What if there aren't multiple rejections?
    - Price needs to be **moving away from** the swing low/high
    - 

    -

  - A level can be both support + resistance.
    - Support can flip into resistance
    - Resistance can flip into support

    - **The levels <u>must be near the current price</u>**
        - We should not be marking levels that are like 50+ pips away from current price
        - HTF Supply/Demand or S/R zones should not be taken as relevant S/R levels unless they are near the current price - otherwise these are simply speculated TP targets for big swings that may or may not happen
        - **We only want to draw levels that are relevant <u>right now</u>**
- **High Win Rate Entry Strategy**
    - **Always wait for 3 confirmations before entering a trade (recommended)**
        - Set stop loss **<u>outside the zone</u> so there is breathing room for retests**
            - Keep SL 5 pips outside the zone - don't keep it super tight or you risk getting wicked out for no reason
        - Set TP at next key level
    - Confirmation #1
        - Trend reversal candlestick patterns
    - Confirmation #2
        - Moving average crossover
            - Bullish candlestick closes ABOVE moving average lines
            - Bearish candlestick closes BELOW moving average line
    - Confirmation #3
        - Price is at a **key support/resistance level**
        -